

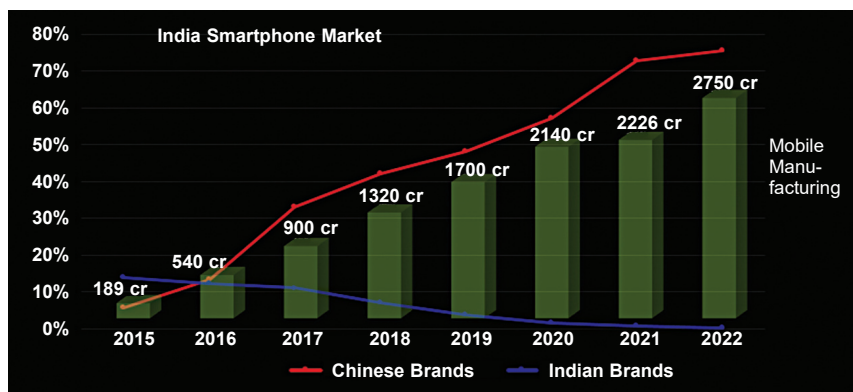


Fig. 2: Success story of mobile phone manufacturing in India from 2015 to 2022

financial security. Security is a critical concern, as a lack of control over product design can threaten data and national security.

Chinese dominance in Indian mobile market

Self-reliance in electronics requires manufacturing and owning the designs and products. By doing so, India can ensure that its electronics industry remains sustainable, resilient, and economically fruitful in the long run. Manufacturing is essential and foundational, but manufacturing alone is not enough for India to move up in the value chain; domestic products and product brands are crucial to self-reliance and the growth of the economy.

India's journey to self-reliance in the global electronics industry is complex and multifaceted. It requires leveraging the ever-growing manufacturing infrastructure and making India a hub of product design and innovation. This transformation will bolster India's economic prospects and enhance its security and global competitiveness. As the nation continues to grow and evolve, it must take steps to shape its destiny in the electronics sector and truly become self-reliant through a good share of domestic products and brands and the preferred destination for manufacturing global products and brands.

The success story of mobile phone manufacturing in India, the journey from 2015 to 2022, paints a compelling picture. The green line on the growth chart illustrates a remarkable transformation, as mobile manufacturing in India surged from 1.69 billion units to an impressive figure and continues to grow. However, while the numbers represent strong growth in manufacturing, a closer look reveals a nuanced story of the growing dominance of global brands, especially Chinese brands, and the need for Indian brands to reclaim their lost market share.

The red curve tells a story of its own. In 2015, Chinese smartphone brands held less than 2% of the Indian market share. Today, they command more than 75% of the Indian smartphone market. The rise of brands like Xiaomi, Oppo, Vivo, and OnePlus has been meteoric. These brands have captured the market and become household names in India.

Conversely, the market share of Indian brands like Micromax, Carbon, and Lava, represented by the blue line, has been decimated. In 2015, they held around 14% of the market, but today, they have less than 1% market share. This decline, while disheartening, underscores the challenges Indian companies face in a fiercely competitive market and presents a fantastic economic and strategic opportunity for domestic

product and manufacturing companies to get a well-deserved market share of at least 25%.

Lessons from China's electronics and semiconductors growth

What can India learn from China's trajectory in the electronics industry, which offers valuable insights? Initially, China focused on electronics manufacturing, catering to global demand just like where India is today. However, as they grew, they also learnt that technology created domestic ecosystems and skills to develop Chinese electronics products and brands. China strategically moved toward products that added substantial value, with about 30% value addition to products as the next stage in their evolution. With concentrated efforts in this direction by the policymakers and the industry, Chinese products and brands dominate most essential and high-volume electronics product categories.

Despite geopolitical hurdles limiting access to advanced semiconductor technology, China is advancing in creating essential chips like micro-controllers and power controllers for diverse electronics uses. Chinese firms gain supply chain control by developing alternatives to traditionally imported components. Increasingly, semiconductors in electronic devices are sourced from China, which is also progressing in manufacturing processors for phones, computers, servers, and AI and developing its semiconductor production capabilities.

A growing presence of Chinese chips in India

For instance, Chinese application processors from UNISOC and Hi-Silicon have made significant inroads into the Indian mobile phone market. Their market share has grown from zero to 10-15% in the last five years. Although it is currently used in low-end devices, it will move up and start challenging